



LRSD SECURITIES PRIVATE LIMITED

DISCLOSURE POLICY OF OPERATIONAL RISK

Document Title	Disclosure Policy of Operational Risk
Entity Classification	Non-Banking Financial Company — Middle Layer
Version	Version 2.0
Approved by	Board of Directors
Review Frequency	Annual (or upon material regulatory change)
Effective Date	March 30, 2026

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PRELIMINARY

1. Policy Statement

- 1.1. This Disclosure Policy on Operational Risk has been formulated by **LRSD Securities Private Limited** (hereinafter referred to as “**Company**” or “**LRSD**”) in compliance with *Clause 97 of the Guidance Note on Operational Risk Management and Operational Resilience, issued by the RBI dated November 28, 2025.*
- 1.2. The RBI mandates the disclosure policy to ensure transparency in operational risk management and the development of better industry practices through such discipline.
- 1.3. This policy is framed in alignment with *Principle 15* of the Operational Guidance Note which states, “An RE’s public disclosures should allow stakeholders to assess its approach to Operational Risk management and its Operational Risk exposure”.

2. Purpose of the Policy

- 2.1. The purpose of this policy is to ensure transparency in the Company's operational risk management, providing customers and stakeholders with a better understanding of the Company.
- 2.2. The disclosures also allow the other relevant companies to undertake a peer-to-peer comparative analysis to improve their processes and controls.
- 2.3. The policy ensures that the market participants and shareholders are provided with timely, reliable, and accurate information in respect of all material matters concerning the Company. Fair and equal access to such significant information is ensured to all its stakeholders.
- 2.4. The disclosures made by the Company shall be commensurate with its size, risk profile and complexity of operations, and shall evolve in line with industry practice and regulatory expectations.

3. Governance Framework

- 3.1. **Board of Directors:** The Board of Directors oversees the operational risk management and disclosure practices. They are responsible for approving and reviewing the policy framework for accuracy and completeness and allocating resources for effective implementation.
- 3.2. **Senior Management:** The Senior Management of the Company ensures proper implementation of the policy framework, monitors risk exposures, and provides necessary training and support to employees involved in risk management and disclosure. The Senior Management independently reviews the disclosures and the disclosure policy prior to submission to the Board for approval.
- 3.3. The Board and the Senior Management are responsible for determining the operational risks disclosures it will make and the internal controls over the disclosure process.
- 3.4. **Risk Management Committee:** The Risk Management Committee monitors the operational risks and evaluates the accuracy and relevance of disclosures. The Committee shall report the emerging risks and regulatory changes to the Board and the Management.
- 3.5. **Audit Committee:** The Audit Committee of the Company is responsible for managing and reviewing the risks concerning operations that are in their domain of work, and the ORMF to ensure the smooth functioning of the Company.

4. Key Operational Disclosures

- 4.1. The Company has disclosed the *Operational Risk Management Framework* to maintain transparency of the Company's operations. The disclosure shall include detailed information on the following:

Identification: The procedure adopted by the Company to identify the operational risks across its operations.

Monitoring: The processes and tools used for continuous monitoring of operational risks.

Assessment: The methodologies employed for assessing operational risks, including stress testing and scenario analysis.

Control/Mitigation: The strategies and controls implemented to manage and mitigate identified risks.

- 4.2. The Company shall disclose the information with respect to the events that have caused the operational loss, its potential impact on the financial stability and operations of the Company, and the measures taken to manage or mitigate these risks including updates to Business Continuity Plans (BCPs), IT security measures, and other relevant controls.
- 4.3. Disclosure of stress testing outcomes and scenario analysis is significant as it provides insights into the potential impact of adverse conditions on the Company's financial stability and operational resilience.
- 4.4. The Company shall disclose the updated changes to its operational policies and procedures, including the significance of such changes and the strategies/methods to mitigate the operational risks.

5. Confidentiality

- 5.1. The Company shall balance the need for transparency with the protection of sensitive information that could aggravate operational risks. This shall include:
- 5.1.1. Evaluation of the potential risks associated with each disclosure to identify information that, if made public, could lead to increased operational risk.
 - 5.1.2. Implementing robust measures to safeguard confidential details, such as specific control vulnerabilities, proprietary processes, and any other sensitive information that could compromise the Company's operational integrity if disclosed.
 - 5.1.3. Ensuring that sensitive information is only disclosed when necessary and that such disclosures are handled in a manner that minimizes potential risks to the Company's Operations and security.
- 5.2. The Company is committed to protecting its sensitive information while providing necessary transparency to stakeholders.

6. Standards of Communication

- 6.1. The Company ensures that disclosures of operational loss events align with internal standards and external expectations, supporting effective communication with stakeholders while safeguarding sensitive and critical information to prevent any additional operational risk.
- 6.2. Disclosure of the operational framework shall be in such a manner that allows stakeholders to determine whether the Company identifies, assesses, monitors, and controls or mitigates the operational risk effectively.
- 6.3. The disclosure of information with regard to the Company's operations and system is to be of such a nature that the peer institutions can undertake a comparative analysis for improving their own processes and controls.
- 6.4. The Company shall ensure that the operational risk disclosures are communicated effectively to all the relevant stakeholders and are put in the public domain through the proper channels (such as putting it on the website of the Company).
